REPORT NO.: RES47803

RESTRUCTURING PAPER

ON A

PROPOSED PROJECT RESTRUCTURING

OF

MADAGASCAR FINANCIAL INCLUSION PROJECT

APPROVED ON FEBRUARY 28, 2018

TO THE

REPUBLIC OF MADAGASCAR

Finance, Competitiveness and Innovation Global Practice

Eastern and Southern Africa Region

ABBREVIATIONS AND ACRONYMS

APIMF	Association of Microfinance Institutions
ATM	Automated teller machines
BPS	Business pulse survey
COVID-19	Corona Virus Disease 2019
GDP	Gross Domestic Product
FM	Financial Management
IFRs	Interim Financial Reports
IPF	Investment Project Financing
IRI	Intermediate Results Indicators
ISR	Implementation Status and Results Report
MFI	Microfinance Institutions
MGA	Malagasy Ariary
MTR	Mid-term review
MSME	Micro, Small and Medium Enterprises
PDO	Project Development Objective
PIU	Project Implementation Unit
PPCG	Partial Portfolio Credit Guarantee
RFP	Request for proposal
TOR	Terms of reference

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BASIC DATA

Product Information

Project ID	Financing Instrument
P161491	Investment Project Financing
Original EA Category	Current EA Category
Financial Intermediary Assessment (F)	Financial Intermediary Assessment (F)
Approval Date	Current Closing Date
28-Feb-2018	31-Jul-2022

Organizations

Borrower	Responsible Agency
Republic of Madagascar	Ministere des Finances et du Budget,Ministere des Finances et du Budget

Project Development Objective (PDO)

Original PDO

The development objective of this project is to promote the financial inclusion of individuals and MSMEs in Madagascar.

Summary Status of Financing (US$, Millions)

Ln/Cr/Tf	Approval	Signing	Effectiveness	Closing	Net Commitment	Disbursed	Undisbursed
IDA-61890	28-Feb-2018	19-Apr-2018	27-Sep-2018	31-Jul-2022	45.00	21.77	22.85

Policy Waiver(s)

Does this restructuring trigger the need for any policy waiver(s)?

No

I. PROJECT STATUS AND RATIONALE FOR RESTRUCTURING

Project Status

1. **The Financial Inclusion Project was approved on February 28, 2018, as an Investment Project Financing (IPF) in the amount of US$45 million equivalent**, and it became effective on September 27, 2018. The closing date is July 31, 2022. The Project Development Objective (PDO) is to "Promote financial inclusion of individuals and MSMEs in Madagascar". The project is designed to increase the number of individuals and micro, small and medium enterprises (MSMEs) with access to transaction accounts and credit services, and to provide support to the portfolio partial credit guarantee scheme in Madagascar in addition to complementary work on strengthening the microfinance institutions. The project has four components: i) Digitalization of transactions to increase usage of transaction accounts (US$25.1 million equivalent); ii) Access to credit for MSMEs (US$16.9 million); iii) Project Management and Impact Evaluation (US$3 million); and iv) Contingency and Response (US$0 million).

2. **Project implementation update:** Both the progress towards achievement of PDO and overall implementation progress ratings at the time of the last Implementation Status and Results Report (ISR) sequence, filed in July 2021 were downgraded to Moderately Satisfactory, mainly due to the delays in Component 1 which was downgraded to Moderately Unsatisfactory respectively. Project Management is also downgraded to Moderately Satisfactory, due to changes in the Project Implementation Unit (PIU) coordinator role and PIU-related delays. The disbursement ratio was at 47 percent as of end-July 2021, below the disbursement forecasts at 67 percent. The mid-term review (MTR) mission that took place from May to July 2021 has identified and agreed concrete actions to address these issues, including a restructuring. There are no outstanding audits or interim financial reports (IFRs) for the credit. The project had one Level-2 restructuring approved on January 14, 2021 that involved (i) revisions in the total costs of project components by reallocation of funds within and between components, and elimination of several activities within components, (ii) revisions in the Results framework, and (iii) reallocation between disbursement categories.

Project Achievements

3. ***Component 1: Digitalization of transactions to increase usage of transaction accounts (US$25.1 million equivalent, US$3.2 million disbursed)***: This component spans three pillars: i) Government payment digitization, ii) Digitization of microfinance institutions, and iii) Enabling environment for transaction accounts. This component has been slow in disbursing and has been downgraded to Moderately Unsatisfactory in the last ISR sequence. This low disbursement is primarily caused by the delay of the activity of digitizing FRAM teachers' salaries and student grants, as well as the Treasury's procurement for the technical assistance of the platform implementation. In addition, further delays were incurred by the delay in procuring the switch platform provider. In terms of indicators, however, the digitalization of the collection of taxes (*Impôt synthétique*), has progressed well with the achievement of more than 16,499 companies exceeding the target of 10,000, which is a step towards the project's development objective.

4. **With regard to the activity on the digitization of teachers' salaries and students' grants**, as stated above, no progress was observed, leading to its cancellation, which was due to the government's decision to award the digitization responsibility to the Postal Institution instead. Initially, after a long period of negotiations that spanned over several months, a private sector provider (BNI) was selected by the PIU in November 2020 for one year. Clearance to proceed with the selected provider was obtained from the government on November 12, 2020. The amount initially earmarked for such activity was US$3.1 million and its result indicator was reduced to 64,000

individuals to be reached as part of the first restructuring. At the end of the latest MTR mission that took place during May-July 2021, this activity was still not implemented.

5. **Regarding the subcomponent aiming to improve the enabling environment for transaction accounts**, activities included implementing the national switch and modernizing the payment systems[1], and the procurement of a national platform for the Treasury. To date, the recruitment process for the switch was completed at end June 2021. Following the relaunch of new international Request for Proposal (RFP), seven tenders were received on April 16, 2021 from the following vendors: M2M, HPS, OpenWay, BPC, Pay Logic, Interswitch, and FSS. With regard to the National Treasury platform, the procurement process will be initiated on the basis of a revised terms of reference (TOR), which will include the findings of the study report on analysis of flows as well as connectivity to the central bank's payment systems. A working group with all stakeholders has been created to allow better technical follow-up of this project. Technical assistance will be contracted to study the processes and define the technical and operational functionalities necessary for the acquisition of the platform.

6. ***Component 2: Access to credit for MSMEs (US$16.9 million, US$12.8 million disbursed):*** This component has three pillars: (i) strengthening supply of credit for MSMEs, (ii) improving credit demand, and (iii) enhancing the environment for access to finance for MSMEs. The activities initially entailed strengthening of the guarantee fund, establishing a fintech innovation fund, business development support for MSMEs, setting up an electronic secured credit registry and support to establish a consumer protection framework.

7. **The first project restructuring approved in January 2021 aimed at anticipating and mitigating the impact of the Corona Virus Disease 2019 (COVID-19) pandemic on MSMEs in Madagascar**. The funds allocated for the Madagascar partial portfolio credit guarantee (PPCG) were increased by US$24 million through the creation of two windows: “Emergency assistance for MSME” window and “Credit restructured” window. To date, a total of 13 agreements were signed with seven financial institutions (five banks and two microfinance institutions). The total capital of the Fund is now US$36 million. The PPCG is a risk sharing facility that aims to catalyze private sector lending to SMEs and provide technical assistance to participating financial institutions. As of June 2021, the target number of borrowers for the MSME window has been exceeded, indeed, a total number of 6,063 guarantees were issued vs 5,000 projected for an outstanding amount of US$51.3 million. At the projected pace, SOLIDIS is on track to meet the objective of the project (cf. guarantees issued). After the first restructuring, the PPCG performed well despite a slowdown in portfolio entries caused by the impact of the pandemic on economic activity. Several financial institutions have entered credits on the guarantee of the counters. However, the beginning of operations from both windows is slow because financial institutions have to set up systems to identify eligible loans according to eligibility criteria.

8. **Financial Management: The project has been complying with the terms of the Financing Agreement**. The project’s most recent ISR sequence (July 2021) graded the Financial Management (FM) Satisfactory due to the timely production of acceptable IFRs. The FM performance is still satisfactory as the PIU has improved the quality of its IFRs and the external audit as of December 2020 raised no major issues. The project’s procurement performance was upgraded to Satisfactory in the last ISR sequence based on the improvements in procurement processes and strengthened procurement capacity of the PIU following implementation of actions agreed during the procurement deep dive.

Rationale for Restructuring

[1] Real time gross settlement system, Automated clearing service.

9. **The achievement of the project development objective which is to *"promote the financial inclusion of individuals and MSMEs in Madagascar"* has proven extremely relevant given the context of the COVID-19 pandemic.** Liquidity has tightened against a growing demand in financing to support firms' resilience and inclusion of individuals. The COVID-19 pandemic put a brake on Madagascar's four years of economic growth. After real gross domestic product (GDP) growth of 4.4 percent in 2019, the country went into a recession in 2020, with real GDP declining 4 percent. Manufacturing, mining, and services were hardest hit because of containment measures, while agriculture performed well. The crisis also put pressure on the financial sector, prompting the central bank to inject liquidity into the system. But prices were contained. Inflation was 4.2 percent in 2020, compared with 5.6 percent in 2019. The current account deficit deteriorated to 3.5 percent of GDP in 2020, compared with 2.3 percent in 2019, because of a drop in exports, an abrupt halt in tourism, and a decline in foreign direct investment. The pandemic hurt public finance. Tax revenues fell, while spending increased significantly as the government took steps to mitigate the COVID-19 crisis. As a result, the budget deficit deteriorated to 6.3 percent of GDP in 2020 from 1.4 percent in 2019.

10. **In terms of outlook and risks, the financing needed for economic recovery was estimated at US$820 million in 2021, resulting in a budget deficit of 4.6 percent of GDP in 2021**, which would narrow to 3.8 percent in 2022. On the demand side, the recovery should be supported by a rebound in both public and private investment and a resumption of exports—nickel, cobalt, and vanilla—as the global economy and international trade recover. However, the current account deficit is expected to remain high at 5 percent of GDP in 2021 and 4.5 percent in 2022. Job losses estimated at 27 percent in the formal sector are expected to gradually decline in 2021 as the economy recovers. The main risks to the outlook are a new wave of COVID–19 infections and weather shocks, such as drought, cyclones, and floods.

11. **Many SMEs in Madagascar have had to close businesses due to the COVID-19 outbreak**, as a result of both hardships due to loan repayments to financial institutions and difficulties in financing operating expenses. In Madagascar, early measures were put in place by the government to alleviate pressure on SMEs and household cashflows, banks and microfinance institutions were encouraged to delay loan repayments by three months and deduct the equivalent amount from their reserve requirements. A business pulse survey (BPS) was conducted by the World Bank in October 2020 to assess the early impact of the pandemic on firms. The survey results indicate that the lockdown had a strong effect on firms, with 32 percent of enterprises reporting to be closed, among which 7 percent permanently and the tourism sector taking the hardest hit. The survey also revealed that microenterprises were the most impacted and incurred a 33.9 percent suspension of operations and 15 percent for large firms. The firms anticipate a decline in sales of 28.6 percent and 12.4 percent decline in employment.

12. **During the second wave of the BPS conducted from December 2020 to February 2021, businesses reported some signs of improvements** as compared to the first wave that took place during the partial lockdown in June-July 2020. Nevertheless, even though most firms had reopened in second wave, large revenue losses continued, and firms still reported difficulties in sourcing inputs and in accessing finance. MSMEs as well as firms in the tourism, construction, and transport sectors have been impacted the most. In the first wave, during Madagascar's partial lockdown, 32 percent of firms reported to be temporarily or permanently closed. This number had decreased to 10 percent during the second wave, with 90 percent of businesses being partially or fully open. The exceptions to this pattern were businesses in the tourism sector and medium-sized firms. 25 percent of tourism firms continued to be closed in second wave, compared to 28 percent in first wave. Medium-sized firms were the only grouping where firm closures increased between the waves, from 15 percent in first wave to 25 percent in second wave.

13. **The government's strategic decision to award the Postal Institution with the responsibility to process the digitization of students grants and teachers' salaries led to the need to cancel this activity estimated at US$3.1 million**. A reallocation of this amount towards existing and new activities is needed. In line with the PDO,

providing financial services to hitherto neglected segments of the population (government employees and service providers) and reducing the use of cash in everyday payments is deemed instrumental in reducing the share of informality in the economy, thus fostering inclusive growth.

14. **Microfinance institutions (MFI) were particularly impacted by COVID-19 crisis and will continue to need support.** The MFI sector in Madagascar plays an important role in financial inclusion with a client base of more than 1 million individuals, US$132.21 million in outstanding loans and US$190.42 million in deposits/savings at end June 2021. MFI services are available through a network of 710 access points with a majority in rural areas. After the COVID-19 outbreak, the Microfinance Association reported a general drop in liquidity: a reduction of 30 percent in repayment rates and a risk portfolio estimated at 30 percent of outstanding loans, which represents US$36 million. Outflows have increased significantly with clients withdrawing more savings. The Banking Commission reports a drastic drop in the overall net profit of the MFI sector, from US$552,600 in June 2020 to US$1.26 million in June 2021 due to the pandemic. Some parts of the sector are at risk of a systemic crisis likely to have social and economic spillover effects that disproportionately impact lower income and rural populations. To help mitigate this risk, a line of credit for US$20 million was initially approved by the Central Bank pending the guarantee of the government. However, the latter was not granted. The Central Bank estimates that losses in the microfinance sector have reached MGA (Malagasy Ariary) 7 billion (US$1.9 million equivalent) due to the pandemic. At the end of June 2021, the country was still under a state of health emergency, it is still difficult to comment on the estimate of losses, unpaid debts increased by MGA 5 billion (US$1.31 million equivalent) in six months since December 2020, part of which that has not been recovered will be recorded as a loss by the end of the year 2021. Monitoring and supervision of the microfinance sector will need to be strengthened, and measures to protect savers should be considered. Technical assistance within each of the participating financial institutions of the PPCG will speed up the process of identifying credits and entries at both windows. The government requested an additional resource (US$200,000) to finance this technical assistance. The recruitment of the technical assistance for the two COVID windows will be processed as part of the proposed project restructuring.

15. **The Treasury plays an important role in the digitization of financial services**. The context of increased poverty has highlighted the need to address the high levels of financial exclusion in Madagascar whereby low income and vulnerable individuals still lack transaction accounts and broader financial services. Further expansion of financial services will be enabled by increased use of digital technologies, and through improved payment infrastructure including a national platform and modernizing payments in Treasury's rural access points. Therefore, the proposed restructuring maintains a strong focus on expanding financial inclusion, including through the microfinance sector, digital financial services, and through a national platform at the Treasury that will allow increased digitalization of government financial transactions and integration to the national Switch.

16. **The proposed project restructuring would enable the World Bank to continue working with the government to strengthen the financial sector through increased support to MFIs and SMEs, and enhanced payment infrastructure**, but also to maintain the dialogue in order to mitigate the risk of inaction that would otherwise likely lead to a worse case. The Ministry of Economy and Finance is committed to improving access to finance and financial inclusion along the lines of the existing PDO, as reflected in the request for the project restructuring. With the proposed project restructuring, it is expected within a year, to maintain the ratings of the Component 2 to Satisfactory and reinstate the Satisfactory rating of Component 1.

17. **The proposed project restructuring aims at amending the project results framework and activities to align with the current financial sector needs**, revising the project components to focus on more critical activities (in line with the PDO) that are achievable within the remaining project implementation period, and consequently reallocating the project funds between disbursement categories and project components. The task team is

confident that the PDO is achievable within the life of the project with the changes reflected in this restructuring paper.

II. DESCRIPTION OF PROPOSED CHANGES

18. The proposed Level 2 restructuring involves (i) revisions in the total costs of project components by reallocation of funds within and between components, and elimination of one activity, (ii) revisions in the Results framework, and (iii) reallocation between disbursement categories. The restructuring is conducted in response to government request dated June 26, 2021.

I. Changes in components and costs

19. As part of the project restructuring, it is proposed to eliminate one of the project activities (*digitization of teachers' salaries and students grants*) and to reallocate the corresponding budget to other activities to better address the objectives of the project as well as the impact of the COVID-19 pandemic. The project components will be revised to include value added activities with a strong link with the intermediate result indicators (IRIs) and PDO indicators. Below sections describe in detail the changes in components and costs.

Component 1. Digitization of transactions to increase use of transaction accounts – Revision of cost and reallocation of funds

20. Component 1. "Digitalization of transactions to increase usage of transaction accounts" will be streamlined to focus on the strengthening of the Treasury's payment infrastructure and on providing more support to the digitization of microfinance institutions. The activity "*digitization of teachers 'salaries and students grants*" will be cancelled and replaced with new activity "*Digitalization of Treasury payment instruments*".

21. The following reallocations within the sub-components of Component 1 are proposed. The total budget of Component 1 will be decreased for the total amount of US$900,000 from US$25.1 million to US$24.2 million, which will be reallocated to Component 2. See details in Table 1.

a. <u>Sub-component 1.1. Government payment digitization</u>: The funding initially allocated to the activities aiming to digitalize government payments will be reduced by total US$1.3 million in light of the cancellation of the activity "*digitization of teachers' salaries and students grants"* and introduction of new activity *"Digitalization of Treasury payment instruments"*. The new budget of sub-component 1.1 will be reduced from US$6.8 million to US$5.5 million.

The focus will now be focused on strengthening the Treasury's payment infrastructure and on providing more support to the digitization of microfinance institutions. The activity "*digitization of teachers 'salaries and students grants*" will be cancelled and replaced with new activity "*Digitalization of Treasury payment instruments*". This will be broken down as follows :

- *Acquisition of new payment equipment and 30 solar panels for Treasury access points*
- *Cyber-assessment of payment systems*
- *Change management, training, and study tour for Treasury's Staff*
- *Additional funding to support TA for the national Treasury platform*
- *Additional funding for the acquisition of Automated -Terminal-Machines (ATM) and Point-of-Sales (POS) for the Treasury*
- *Additional funding for the education campaign and citizen engagement for mobile Treasury bills.*

b. Sub-component 1.3. Enabling environment for the use of transaction accounts: The part of cancelled amount from sub-component 1.1 (US$400,000) will be used to further support the payment system through cyber-assessment and to complement the initial funding for an education campaign. The new budget of sub-component 1.3 will increase from US$11.3 million to US$11.7 million.

Component 2. Access to credit for Micro, Small and Medium

22. To mitigate the impact of the pandemic on MSMEs, two new windows were opened under the PPCG managed by SOLIDIS: (i) a credit restructuring window for temporary restructuring of loans to firms that were in good standing before the onset of the COVID-19 pandemic by modifying loan terms so that the borrowers could restart paying back their loans; and (ii) an emergency assistance to MSME window, which will guarantee new loans to MSMEs whose cash-flow and income is negatively affected by the COVID-19 crisis. The present restructuring is proposing to allocate US$200,000 to allow SOLIDIS to support the cost of technical assistance for the participating financial institutions (PFIs). In addition, US$700,000 will be added to the activity to cost sharing for the expansion of MFI agencies in rural network. The total budget of Component 2 will increase from US$16.9 million to US$17.8 million.

Table 1: Projects components' costs and changes

Id	Component/Activities	Initial budget (USD)	+	-	New budget (USD)
Comp 1	**Digitization of transactions to increase use of transaction accounts**	**25 118 641**	**2 200 000**	**3 100 000**	**24 218 641**
Sub-Cp 1.1	**Government payment digitization**	**6 781 016**	**1 800 000**	**3 100 000**	**5 481 016**
Act 1.1.1	Digitization of teachers' salaries and student grants[2]	6 231 016	**1 800 000**	**3 100 000**	4 931 016
Act 1.1.2	Digitization of tax collection	550 000			550 000
Sub-Cp 1.2	**Digitization of Microfinance Institutions**	**6 952 890**			**6 952 890**
Act 1.2.1	Front office: Integration of mobile services for MFI	4 332 890			4 332 890
Act 1.2.2	Back office: Operationalization of the management information systems	2 620 000			2 620 000
Sub-Cp 1.3	**Enabling environment for the use of transaction accounts**	**11 384 735**	**400 000**		**11 784 735**
Act 1.3.1	Modernization of payment system infrastructure	10 894 345	100 000		10 994 345
Act 1.3.2	Financial education campaign	490 390	300 000		790 390
Comp 2	**Access to credit for Micro, Small and medium Enterprises**	**16 939 465**	**900 000**		**17 839 465**
Sub-Cp 2.1	**Strengthening of the Supply of credit for Micro, Small and medium Enterprises**	**13 153 623**	**200 000**		**13 353 623**
Act 2.1.1	Intensification of Guarantee fund for Micro, Small and medium Enterprises	13 153 623	200 000		13 353 623
Sub-Cp 2.2	**Increase of credit demand**	**1 897 842**			**2 597 842**
Act 2.2.1	Service of development enterprises (SDE) for MSME	0			0
Act 2.2.2	Cost sharing for the expansion of MFI agencies in rural network	1 897 842	700 000		2 597 842

[2] Changed to "Digitization of Treasury's payment instruments"

Sub-Cp 2.3	**Enabling environment for access to credit for MSME**	**1 888 000**	**0**		**1 888 000**
Act 2.3.1	Secured Credit Registry	700 000	0		700 000
Act 2.3.2	Improve of consumer protection framework	1 188 000	0		1 188 000
Comp 3	**Project management**	**2 941 895**	**0**		**2 941 895**
	TOTAL	**45 000 000**	**3 100 000**	**3 100 000**	**45 000 000**

Table 2: Summary changes in indicators' targets

II. Changes in Results Framework

23. The changes to the components as described above will have consequences on the indicators of the Project Results Framework stipulated in the project documents. The same is true for the additional indicators in Annex 8 of the PAD. In all, four indicators related to this change are revised and five new intermediate result indicators are added. The proposed changes to the results framework will allow Intermediate Results Indicators (IRIs) to be adjusted and will enhance their relevance.

PDO Indicator 1	**Initial target**	**Revised target**
"Number of (i) civil servants paid through transaction accounts ii) service providers paid through transaction accounts, iii) business that pay taxes digitally[3]	74,000	46,300
Intermediate result Indicators		
Number of women owned businesses that pay the "impot synthetique" through a transaction account.	65,000	5,000
The number of MFIs that allow loan repayment through a mobile money account ("wallet-to-account").	4	8
Number of clients of the new MFI branches established through the project.	7,000	15,000
Number of female clients of the new MFI branches established through the project.	2,800	6,000

PDO Indicators

24. There are two PDO-level indicators. One is being modified and the other will remain unchanged. Below is the current status update on the PDO indicators.

- The PDO indicator 1: *"Number of currently unbanked (i) FRAM teachers/students that receive their government salary/scholarship and (ii) businesses that pay the "impot synthetique" through a transaction account*" is deemed unrealistic given cancellation of the related activity. The PDO indicator 1 is hence revised to "*Number of (i) civil servants paid through transaction accounts, ii) service providers paid through transaction accounts, iii) business that pay taxes digitally"* from a target of 74,000 to 46,300 beneficiaries.

[3] Initial name: *Number of currently unbanked (i) FRAM teachers/students that receive their government salary/scholarship and (ii) businesses that pay the "impot synthetique through a transaction account*

- The PDO Indicator 2: *"The Number (cumulative) of MSME borrowers that banks and MFIs have registered under the partial portfolio credit guarantee since effectiveness of the project*" is not changing. At end June 2021, 6,000 as compared a target of 5,000 loans had been granted.

Intermediate Results Indicators (IRIs)

25. The result framework includes 11 IRIs following the changes introduced under first restructuring. The proposed changes aim at adapting the IRIs to the changes in activities and enhancing their relevance toward the achievement of the PDO. As a result, four IRIs are revised, nine unchanged, and five are newly created. The changes are included in the revised Results Framework in Annex 1. The result reporting timeline has not been changed.

26. **Dropped IRIs:** Overall, no indicators have been dropped.

27. **Revised IRIs**: it is proposed to revise the following four indicators.

a. "Number of currently unbanked woman owned businesses that pay the *impôt synthétique* through a transaction account". The new target is changed from 10, 000 to 5,000;
b. "The number of MFIs that allow loan repayment through a mobile money account ("wallet-to-account")". The number of MFIs that are interested in the digitization of the Front Office is potentially as many as 8 instead of 4, according to the expressed need of MFIs to reduce contact between agents and clients and to limit the spread of COVID 19 in branches. This has been validated by the MFI Association (APIMF). Thus, the target will be changed from 4 to 8;
c. "Number of clients of the new MFI branches established through the project". The target will be revised from 7,000 to 15,000 given recent performance and added support. The MFIs presented the performance projections from 2021 to 2022 for the newly created agencies to serve as a basis for monitoring achievement; The target is based on information provided by 4 MFIs stating that 15 205 new clients will be registered during the first 6 months of 2022.
d. "Number of female clients of the new MFI branches established through the project". The target will be revised from 2,800 to 6,000. According to the PAD, the target value set represents 40 percent of the clients/members of the new MFI agencies. The breakdown follows the projection of the number of clients/members of the new agencies.

28. **Newly created IRIs:** It is proposed to introduce five new IRIs in relation to the newly created activities led by the Treasury.

a. Number of businesses that pay the *impôt synthétique* through a transaction account" is still deemed achievable and stays at a target of 10,000;
   Justification for target: Unpacking the PDO level target;
b. Number of Civil servants' salaries paid digitally through a transaction account. Baseline: 0; Target: 36,000.
   Justification for target: The total number of civil servants is 241,951. It is considered that 15 percent could be reached;
c. Number of service providers paid through a transaction account. Baseline: 0; Target: 300;
   Justification for target: The total number of service providers is 2,983. It is considered that 10 percent could be reached;
d. Number of terminals/ ATM installed at the Treasury's service. Baseline: 0; Target: 30;
   Justification for target: There are 30 service points that are planned to be equipped;
e. Number of T-Bill subscribers. Baseline: 0; Target: 300;

Justification for target: Given that this is an innovative service, it is expected that only a few will subscribe in 12 months until the project closure.

29. **Unchanged IRIs:** the nine intermediate result indicators listed below will remain unchanged.

a. "Shared MIS developed and operational" – on track for reaching the target.
b. "National Switch developed and operational" is similarly slated for end 2021 and will be met. The procurement process for the recruitment of the platform provider is being finalized. Hence, it is realistic to keep the target the same.
c. "Number of consumers reached by the financial education campaign via mobile phone messages"- it is estimated that 60,000 consumers can be reached by the education campaign by mobile text messages. The team feels this indicator can still be achieved by the closing date.
d. "Number of female consumers to be reached by the financial education campaign via mobile phone message", initially set for 30,000, will remain the same.
e. "Report drafted annually on Citizen Engagement Survey" will also not be changed.
f. "Percentage of loans extended to MSMEs registered under the portfolio guarantee that are non-performing".
g. "Percentage of banks and microfinance institutions reporting data to the CBSF on financial consumer complaints" – will remain unchanged with current target of 10 percent.
h. Number of MSMEs benefiting from restructured loans – the indicator introduced during first restructuring and will remain with current target of 611.
i. Number of MFIs and MSMEs eligible at the window Emergency assistance to MFIs and MSMEs that banks and MFIs have registered under the partial loan portfolio guarantee – the indicator introduced during first restructuring and will remain with current target of 656.

III. Reallocation between disbursement categories

30. The changes in the components and cost of activities will also affect the categories and therefore the following changes will be introduced in the expense categories. See table 3 for details.

Table 3. Reallocation by category

Expense Category	Name	Initially Allocated Amount	Change	New Allocation
1	Goods, works, non- consulting services, and consulting services for the Project	21,309,597	-490,612	20,818,985
2	Refund of preparation advance	565	-	565
3	Increasing the endowment of the PPCG	8,953,160		8,953,159
4	Matching grants	1,336,678	+490,612	1,827,290
5	Contingency Emergency Response component	-	-	-
	TOTAL	**31,600,000**	**-**	**31,600,000**

Table 4. Breakdown of cancelled, newly added activities and reallocated activities

	Activity name	Amount	Change
Component 1. Digitization of transactions to increase use of transaction accounts			
Sub-component 1.1 **Old name** : Government payment digitization **New name** : “Digitization of Treasury’s payment instruments”	Acquisition of new payment equipment and 30 solar panels for Treasury access points	400,000 USD	**New**
	Cyber-assessment of payment systems	100, 000 USD	**New**
	Change management, training, and study tour for Treasury’s Staff	500,000 USD	**New**
	Digitization of teachers’ salaries and student grants	3,100,000 USD	**cancelled**
	Additional funding to support TA for the national Treasury platform	500,000 USD	**Increased amount to existing activity**
	Additional funding for the acquisition of Automated -Terminal-Machines (ATM) and Point-of-Sales (POS)	400,000 USD	**Increased amount to existing activity**
	Additional funding for the education campaign and citizen engagement	300,000 USD	**Increased amount to existing activity**
Component 2. Access to credit for Micro, Small and medium Enterprises			
2.2.2 Cost sharing for the expansion of MFI agencies in rural network	Cost sharing for the expansion of MFI agencies in rural network	700,000 USD	**Increased amount to existing activity**
2.1.1 Intensification of Guarantee fund for Micro, Small and medium Enterprises	TA to financial institutions to support in assistance for to 2 newly opened windows	200,000 USD	**Increased amount to existing activity**

III. SUMMARY OF CHANGES

	Changed	Not Changed
Results Framework	✓	
Components and Cost	✓	
Reallocation between Disbursement Categories	✓	
Disbursements Arrangements	✓	
Disbursement Estimates	✓	
Implementing Agency		✓
DDO Status		✓
Project's Development Objectives		✓
PBCs		✓
Loan Closing Date(s)		✓
Cancellations Proposed		✓
Overall Risk Rating		✓
Safeguard Policies Triggered		✓
EA category		✓
Legal Covenants		✓
Institutional Arrangements		✓
Financial Management		✓
Procurement		✓
Implementation Schedule		✓
Other Change(s)		✓
Economic and Financial Analysis		✓
Technical Analysis		✓
Social Analysis		✓
Environmental Analysis		✓

IV. DETAILED CHANGE(S)

COMPONENTS

Current Component Name	Current Cost (US$M)	Action	Proposed Component Name	Proposed Cost (US$M)
Digitalization of transactions to increase usage of transaction accounts	25.10	Revised	Digitalization of transactions to increase usage of transaction accounts	24.22
Access to credit for MSMEs	17.00	Revised	Access to credit for MSMEs	17.84
Project Management and Impact Evaluation	2.90	Revised	Project Management and Impact Evaluation	2.94
Contingent Emergency Response	0.00	No Change	Contingent Emergency Response	0.00
TOTAL	**45.00**			**45.00**

REALLOCATION BETWEEN DISBURSEMENT CATEGORIES

Current Allocation	Actuals + Committed	Proposed Allocation	Financing % (Type Total)	
			Current	Proposed
IDA-61890-001 | Currency: XDR				
iLap Category Sequence No: 1	Current Expenditure Category: GD, WK, NCS, CONS			
21,309,597.00	3,737,675.29	20,818,985.00	100.00	100.00
iLap Category Sequence No: 2	Current Expenditure Category: PPF REFINANCING			
565.00	564.65	565.00		
iLap Category Sequence No: 3	Current Expenditure Category: INCREASING THE ENDOWMENT PPCG			
8,953,160.00	8,933,306.17	8,953,160.00	100.00	100.00
iLap Category Sequence No: 4	Current Expenditure Category: MATCHING GRANTS			
1,336,678.00	0.00	1,827,290.00	100.00	100.00

iLap Category Sequence No: 5	Current Expenditure Category: CONTIGENCY EMERGENCY RESPONSE COMP				
	0.00	0.00	0.00	0.00	0.00
Total	**31,600,000.00**	**12,671,546.11**	**31,600,000.00**		

DISBURSEMENT ESTIMATES

Change in Disbursement Estimates
Yes

Year	Current	Proposed
2018	0.00	2,584,808.00
2019	10,263,086.00	6,662,849.00
2020	4,425,957.00	3,024,772.00
2021	15,000,000.00	12,735,675.00
2022	15,310,957.00	19,991,897.00
2023	0.00	0.00

Results framework

COUNTRY: Madagascar
Madagascar Financial Inclusion Project

Project Development Objectives(s)

The development objective of this project is to promote the financial inclusion of individuals and MSMEs in Madagascar.

Project Development Objective Indicators by Objectives/ Outcomes

Indicator Name	PBC	Baseline	End Target
Number of Civil servants' salaries paid digitally through a transaction account ***(Action: This Objective has been Revised)***			
Number (cumulative) of MSME borrowers that banks and MFIs have registered under the partial portfolio credit guarantee since effectiveness of the project (Number (Thousand))		0.00	5.00
Number of (i) civil servants salary digitized and (iii) government service providers paid digitally and (ii) businesses that pay the "impot synthetique" through a transaction account (Number (Thousand))		0.00	46.30
Action: This indicator has been Revised	***Rationale:*** ***Modification of the title of the indicator following the cancellation of the activity of digitization of teachers salaries grants and scholarships and the addition of new activity at the level of the Public Treasury.***		
Number of companies paying the impot synthetique with a transaction account (Number)		0.00	10.00
Action: This indicator is New			
Number of Civil servants' salaries paid digitally through a transaction account (Percentage)		0.00	15.00

Indicator Name	PBC	Baseline	End Target
Action: This indicator is New	***Rationale:*** ***Added indicators given new activity regarding digitization of Treasury's payment activities. New equipment will be purchased to allow civil servants to receive their salaries through an account.***		
Number of service providers paid through a transaction account (Number)		0.00	300.00
Action: This indicator is New			

Intermediate Results Indicators by Components

Indicator Name	PBC	Baseline	End Target
Digitalization of transactions to increase usage of transaction accounts			
Number of women owned businesses that pay the "impot synthetique" through a transaction account (Number (Thousand))		0.00	5.00
Action: This indicator has been Revised	***Rationale:*** ***Revised to match the overall target of 10,000***		
The number of MFIs that allow loan repayment through a mobile money account (“wallet-to-account”) (Number)		0.00	8.00
Action: This indicator has been Revised	***Rationale:*** ***The number of MFIs that are interested in the digitization of the Front Office is six instead of two, according to the expressed need of MFIs to reduce contact between agents and clients and to limit the spread of COVID 19 in branches. This has been validated by the MFI Association (APIMF). Thus, the target will be changed from two to four.***		

Indicator Name	PBC	Baseline	End Target
Shared MIS developed and operational (Yes/No)		No	Yes
National Switch developed and operational (Yes/No)		No	Yes
Number of consumers reached by the financial education campaign via mobile phone messages (Number (Thousand))		0.00	60.00
Number of female consumers reached by the financial education campaign via mobile phone messages (Number (Thousand))		0.00	30.00
Number of loans to MSMEs eligible for the Restructured Credit Window that banks and MFIs have registered under the partial credit portfolio guarantee (Number)		0.00	611.00
Action: This indicator is New	***Rationale:*** ***Target calculated on the basis of the credit inflows in the portfolio that can be supported by the Capital 4.5 million USD provided by the Project. This is a new indicator following the creation of the two new "Covid" windows***		
Number of loans eligible for the Emergency Assistance to MFIs and MSMEs that banks and MFIs have registered under the partial credit portfolio guarantee (Number)		0.00	656.00
Action: This indicator is New			
Number of MFIs and MSMEs eligible for the emergency assistance to MFIs and MSMEs that banks and MFIs have registered under the partial credit portfolio guarantee (Number)		0.00	611.00
Action: This indicator is New	***Rationale:*** ***For the Emergency Assistance Window, a beneficiary would only be entitled to a credit. This is a new indicator follow ing the creation of the two new "Covid" windows***		
Number of terminals/ATM installed at the Treasury's service points (Number)		0.00	30.00

Indicator Name	PBC	Baseline	End Target
Action: This indicator is New	***Rationale:*** ***The Treasury will received new allocated funding to support installation cost of new payment equipment in 30 new service points***		
Number of T Bill Subscribers (Number)		0.00	300.00
Action: This indicator is New	***Rationale:*** ***A new service will be launched by the Treasury to allow citizen to subscribe to T bills through a mobile app***		
Access to credit for MSMEs			
Percentage of loans extended to MSMEs registered under the portfolio guarantee that are non-performing (Percentage)		1.70	3.00
Number of enterprises reached with BDS (Number)		0.00	500.00
Action: This indicator has been Marked for Deletion			
Number of women-led enterprises reached with BDS (Number)		0.00	250.00
Action: This indicator has been Marked for Deletion			
Number of clients of the new MFI branches established through the project (Number (Thousand))		0.00	15.00
Action: This indicator has been Revised	***Rationale:*** ***The MFIs presented the performance projections from 2021 to 2022 for the newly created agencies to serve as a basis for monitoring achievement. Regarding the 41 new points of service of wave n°1, the 04 MFIs indicated that they serve 15,205 new clients/members for 04 months of operationalization. Also, the Project takes into account the 15,000 new customers/members for the 06 months of operationalization remaining in 2022 before the project closing date.***		
Number of female clients of the new MFI branches established through the project (Number (Thousand))		0.00	6.00

Indicator Name	PBC	Baseline	End Target
Action: This indicator has been Revised	***Rationale:*** ***The target was revised from 2,800 TO 6 000*** ***According to the PAD, the target value set represents 40% of the clients/members of the new MFI agencies. The breakdown follows the projection of the number of clients/members of the new agencies***		
Banks and MFIs report data to a centralized electronic collateral registry (Yes/No)		No	Yes
Action: This indicator has been Marked for Deletion	***Rationale:*** ***The PIFM will only finance activities relating to the purchase of software, equipment, and materials necessary for the establishment of the centralized electronic guarantee register. Technical assistance is provided by the International Finance Corporation of the World Bank Group.***		
Percentage of banks and microfinance institutions reporting data to the CBSF on financial consumer complaints (Percentage)		0.00	30.00
Report drafted annually on Citizen Engagement Survey (Yes/No)		No	Yes
Number of MSMEs benefiting from restructured loans (Number)		0.00	611.00
Action: This indicator is New	***Rationale:*** ***The new intermediate result indicator is added in relation to the newly created Restructured Credits window of the PPCG.***		
Number of MFIs and MSMEs eligible at the window Emergency assistance to MFIs and MSMEs that banks and MFIs have registered under the partial loan portfolio guarantee (Number)		0.00	656.00
Action: This indicator is New	***Rationale:*** ***The new intermediate result indicator is added in relation to the newly created Emergency assistance to MFIs and MSMEs window of the PPCG.***		